Shareholder Letter Q2 FY2024

Siemens Energy Investor Relations

Dear shareholders,

on May 8, 2024, Christian Bruch, our CEO, and Maria Ferraro, our CFO, presented our fiscal year 2024 Q2 results.

“Our strong development in the second quarter underscores the continued strong demand for our technology to power the energy transition and our success in stabilizing the wind business. We have raised our outlook to reflect this positive development. The turnaround of our wind business is still our focus. To this end, we are taking steps to reduce complexity and create a more focused business ”, said Christian Bruch.

As expected, **orders decreased year-over-year** from a high level of comparison mainly due to a lower volume of large orders. Growth at Grid Technologies (GT) and Transformation of Industry (TI) could not offset lower orders in the other segment, particularly at Siemens Gamesa. Overall, the **decline was 21.8% on a comparable basis** (excluding currency translation and portfolio effects) and **orders came in with €9.5bn.** The book-to-bill ratio (ratio of orders to revenue) was again above 1, driving the order backlog to a new high of €119bn.

Revenue grew by 3.7% on a comparable basis to €8.3bn with substantial and significant growth at GT and TI, respectively.

Siemens Energy’s Profit before special items sharply increased to €170m (Q2 FY 2023: €41m) in part benefiting from positive currency effects. **Special items amounted to positive €331m** (Q2 FY 2023 : positive €23m) **driven by pre-tax gains from the sale of businesses** related to the ongoing progress on disposals and accelerated portfolio transformation. As a result, **Profit for Siemens Energy came in at €501m** (Q2 FY 2023: €64 m).

Net income came in at €108m (Q2 FY 2023: Net loss €189m). Corresponding **basic earnings per share (EPS) were positive at €0.08** (Q2 FY 2023: negative €0.25).

Due to the strong business performance in the first half year, **Siemens Energy raised its outlook for fiscal year 2024**.

For Siemens Energy **Group management now expects comparable revenue growth between 10% and 12%** (previously between 3% and 7%) and a **Profit margin before special items between negative 1% and positive 1%** (previously between negative 2% and positive 1%). **Please see page 4 for more details.**

On the next couple of pages, we share with you **how our colleagues at Grid Technologies support our customers at times of strong demand for their products** and we give you an **update in respect to the turnaround of our wind business**.

Thank you very much for your interest in Siemens Energy.

All the best

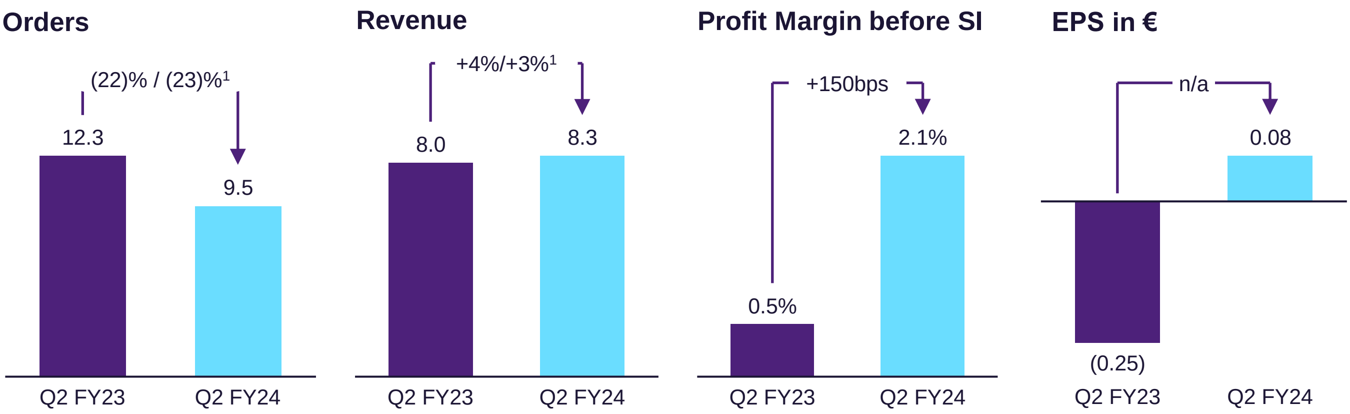
Michael Hagmann | Head of Investor Relations

Orders Q2	Revenue Q2	Profit before SI[2] Q2
€9.5bn (22)%[1]	€8.3bn +4%[1]	€170m

1 Comparable basis: Excluding currency translation and portfolio effects **|** **2** Special Items

Siemens Energy in Q2 FY2024

(in €bn, except where otherwise stated)

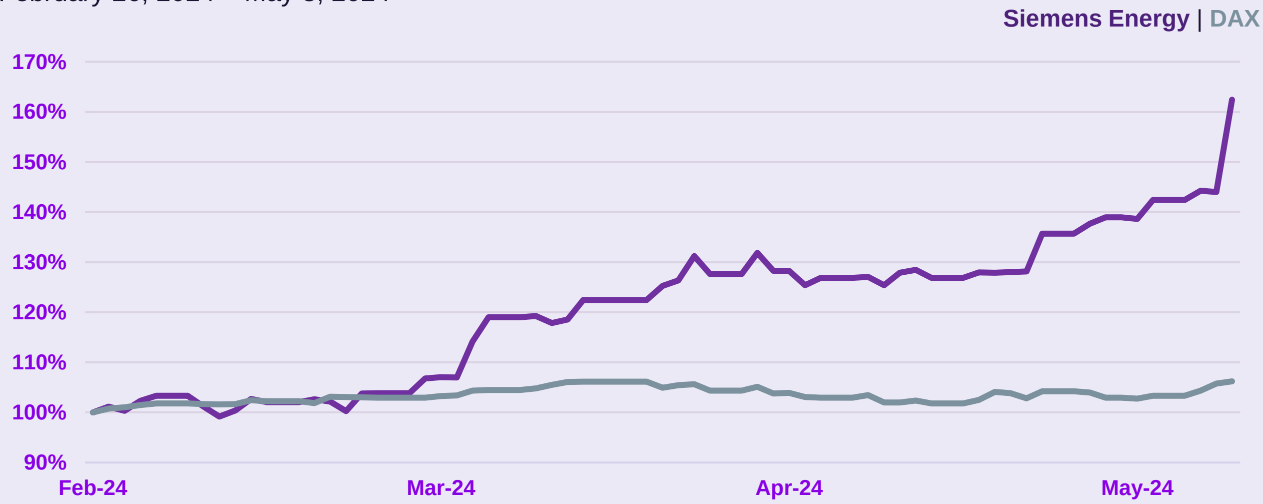


1 xx% / xx% = comparable (excluding currency translation and portfolio effects) / nominal

Business Areas	Orders		Revenue		Profit Margin before SI	
	in million €	Change (comp.)	in million €	Change (comp.)	in percent	Margin change
Q2 FY2024						
Gas Services	**3,442**	**(20.8)%**	**2,644**	**(6.0)%**	**14.4%**	**+410bps**
Grid Technologies	**3,737**	**+27.4%**	**2,195**	**+25.5%**	**11.4%**	**+480bps**
Transformation of Industry	**1,581**	**+16.2%**	**1,273**	**+11.3%**	**6.2%**	**(10)bps**
Sustainable Energy Systems	3	(95.5)%	40	+95.0%	(66.1)%	(160)bps
Electrification, Automation, Digitalization	343	(0.2)%	346	+27.8%	7.0%	+190bps
Industrial Steam Turbines & Generators	348	(19.4)%	378	(0.5)%	7.9%	(360)bps
Compression	888	+59.8%	520	+8.9%	9.7%	+360bps
Siemens Gamesa	**881**	**(75.7)%**	**2,314**	**(4.6)%**	**(19.4)%**	**(400)bps**

Share performance

February 26, 2024 – May 8, 2024

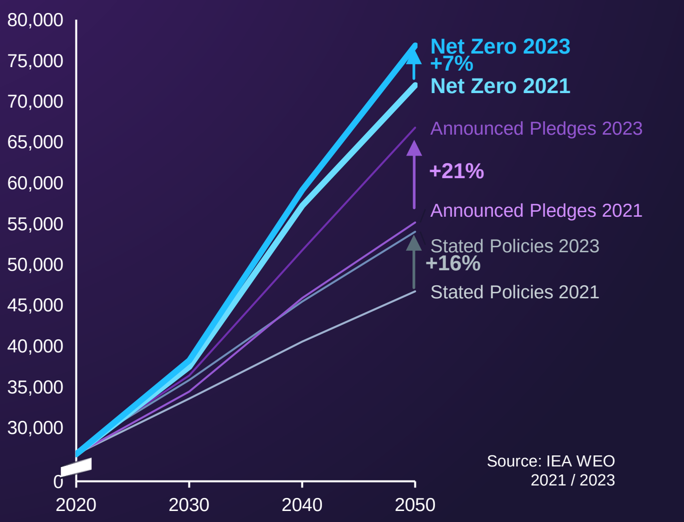


Siemens Energy +62.4% · **DAX** +6.2% · **GE Vernova** +19.4% · **Baker Hughes** +6.9% · **Hitachi** +11.7% · **MHI** +13.3%

Grid Technologies
Higher than expected electricity growth drives GT business

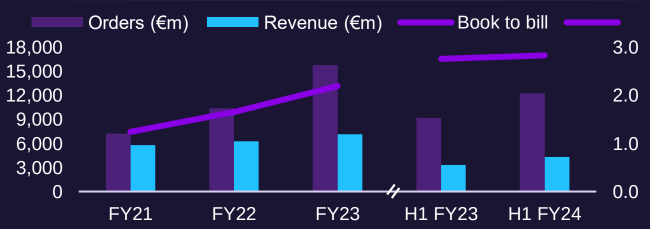
The market environment for Siemens Energy continues to improve with electricity demand exceeding growth expectations. The graph below shows how, over a period of just two years, **mid-term expectations for electricity consumption growth have increased**. In order to be able to accommodate this growth in electricity consumption our customers have been placing orders and will continue to do so in the future.

Global electricity generation scenarios 2021 vs. 2023 (TWh)



As one of the market leaders Grid Technologies has been able to capitalize on this trend and experienced **stronger than expected order and revenue growth**. Orders have been exceeding revenue for the last three and a half years and these orders are now converting into strong revenue growth and a solid margin expansion. We therefore **raised the guidance for GT and now expect comparable revenue growth of 32% to 34%** (previously 18% to 22%) and a **Profit margin before special items between 8% and 10%** (previously between 7% and 9%) this fiscal year.

Grid Technologies



As a response to this dynamic demand growth, **we started to increase our capacities in GT**. Over the past months, **we launched a new factory expansion in the U.S. to address the the strong demand for power transformers**. We will **invest 150 million USD** to broaden our operations in Charlotte, North Carolina, **creating almost 600 new jobs**. By doing so, we will add to our existing operations by **building Siemens Energy's first transformer factory in the U.S.,** to deliver vital infrastructure and to enable the country's energy transition.

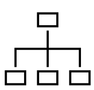
Today, **only 20% of U.S. large power transformer demand is met by domestic supply** with lead times of up to five years. **Power transformers provide the link between generation and distribution** and are a crucial part of any electricity distribution network where they convert high-voltage electricity into lower voltages. Custom built **power transformers** of around the size of a standard school bus **are essential components in any grid expansion**. They **enable the reliable transmission of electricity over long distances and help stabilize electrical transmission across regions.**

Siemens Gamesa – Clear way forward

Siemens Energy is diligently working on the turnaround of Siemens Gamesa, below is an update on current developments:

- There are no new technical findings and no material changes to cost assumptions related to quality topics
- We have defined a **more focused approach to the market** and **will continue to develop the onshore business in selected regions** (Europe, U.S. and other markets opportunistically) and based on a **revised 4.X and 5.X platform**, but with a heavily reduced number of variants
- The **4.X sales activity in Europe will resume by the end of this fiscal year**

- Our **ramp up continues and is progressing as planned in Cuxhaven, Aalborg and Le Havre**
- In Hull we have still not reached the desired output volume, but have been able to accelerate the ramp up of the workforce and to avoid project delays by adding capacities at Hull and some of our other factories
- **The SG 14 platform will be our volume product at least until the end of the decade**



- We are **progressing the central function integration of Siemens Gamesa into Siemens Energy**
- We are driving a **clearer and flatter organization** in line with Siemens Energy principles. In the new set up, we **will integrate Service and New Unit business for Onshore and for Offshore**, with focus on a close relationship with our customers. This will allow us to improve the value proposition across all platforms.
- The program comprises **efficiency measures, outsourcing and transfer of activities to partners**.

Outlook for the Fiscal Year 2024

	Revenue Growth[1]		Profit Margin before SI[2]	
Gas Services	(2) – 0%	*(prev. (4) – 0%)*	9 – 11%	*(unchanged)*
Grid Technologies	32 - 34%	*(prev. 18 – 22%)*	8 – 10%	*(prev. 7 – 9%)*
Transformation of Industry	14 –16%	*(prev. 8 – 12%)*	5 – 7%	*(unchanged)*
Siemens Gamesa	10 – 12%	*(prev. 0 – 4%)*	around neg. €2.0bn *(unchanged)*	
Siemens Energy	**10 – 12%**	***(prev. 3 – 7%)***	**(1) – 1%**	***(prev. (2) – 1%)***
Net Income			up to €1bn *(unchanged)* incl. impacts from disposals	
Free Cash Flow pre-tax[3]			up to pos. €1bn *(prev. around neg. €1.0bn)*	
Proceeds from disposals			around pos. €3bn *(prev. range of pos. €2.5 – €3bn)*	

This outlook excludes charges related to legal and regulatory matters.
1 Comparable revenue growth: Excluding currency translation and portfolio effects I 2 Profit Margin before Special Items in % of revenue with Profit as earnings before financial result, income taxes, amortization expenses related to intangible assets acquired in business combinations, and goodwill impairments I 3 Free Cash Flow pre-tax as operating cashflow and additions to intangible assets and PPE less Income taxes paid.

Financial Calendar

Aug 7, 2024 3rd quarter FY24

Nov 13, 2024 4th quarter FY24

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